

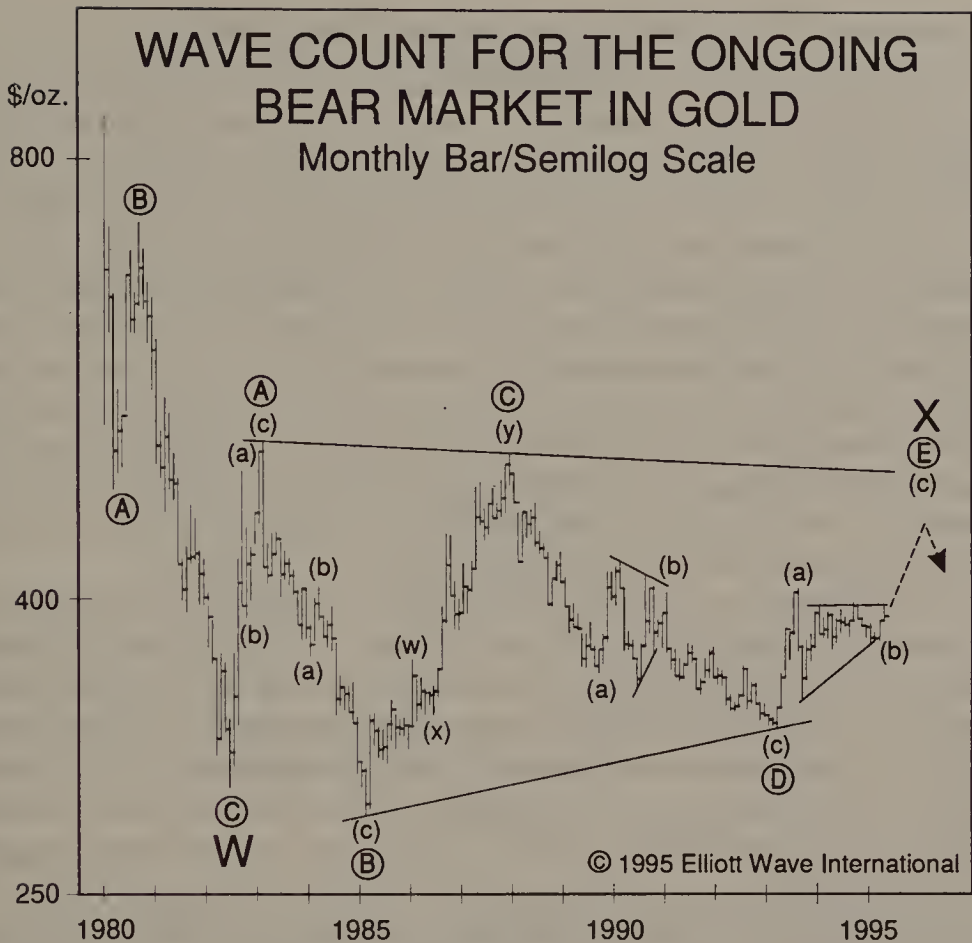


Figure 17-5

precedes the final move in the next larger trend. Since only one rally from the 1993 low has occurred, the fact that only one remains guarantees that the advance will be three waves, thus precisely fitting the requirement for wave ⑤. This small event conforms to the entire Elliott Wave analysis covering the past fifteen years.

That the rise from 1993 is part of a bear market rally rather than the start of a new bull market will be invaluable knowledge to have when wave ⑤ tops in coming months. Because wave ⑤ will cap a recovery pattern of Cycle degree, the bullish psychology attending its peak should be correspondingly intense. Mining issues should reach new all-time highs (see discussion below) and the price of silver should reach a new multi-year high, fueling bullish psychology. “E” waves are often accompanied by supporting news, so look for a widely publicized “reason” to own gold at the top of wave ⑤.